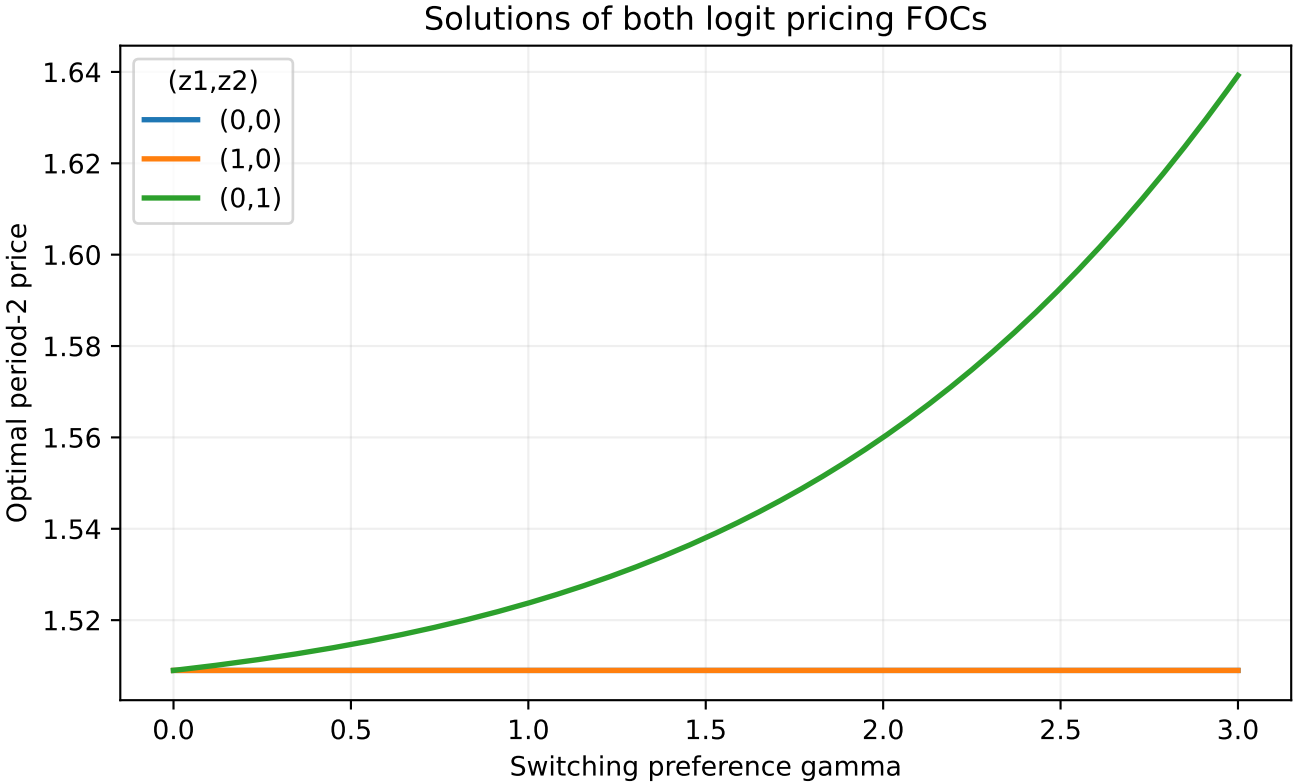
Solutions of both logit pricing FOCs
(z1,z2)
(0,0)
(1,0)
(0,1)
Optimal period-2 price
1.64
1.62
1.60
1.58
1.56
1.54
1.52
0.0
0.5
1.0
1.5
2.0
2.5
3.0
Switching preference gamma
alpha=-2, beta=-1, delta=0.7, c=1; shares adjust with prices